

Bloomberg Automated Summary

Coca-Cola Co/The Earnings Call

[View on the Bloomberg Terminal](#)

02/11/25

Guidance

- For 2025, Coca-Cola expects organic revenue growth of 5-6% and comparable currency-neutral earnings per share growth of 8-10%, both at the high end of their long-term growth algorithm
- Currency headwinds are expected to impact 2025 results significantly, with approximately 3-4 point headwind to comparable net revenues and 6-7 point headwind to comparable earnings per share
- The company expects to generate approximately \$9.5 billion in free cash flow in 2025 (excluding fairlife payment), with \$11.7 billion in cash from operations and \$2.2 billion in capital investments
- The underlying effective tax rate is projected to increase to 20.8% in 2025 due to global minimum tax regulations
- Overall comparable earnings per share growth is expected to be 2-3% versus \$2.88 in 2024

Margin Story

- In Q4 2024, comparable gross margin increased by approximately 160 basis points and comparable operating margin increased by approximately 80 basis points, with bottler refranchising having a greater benefit to gross margin while currency headwinds had a larger impact on operating margin
- For 2025, management expects modest gross margin expansion, with low single-digit commodity cost increases and currency headwinds potentially offsetting some of the underlying expansion
- The company's bottling investments as a percentage of consolidated net revenue has decreased significantly from 52% in 2015 to 13% in 2024, contributing to a 6-point improvement in return on invested capital over that period

AI Strategy

- Coca-Cola used generative AI to create their Christmas advertisement in 2024, which resulted in faster production and lower costs
- The company views generative AI technology as being in early stages and plans to continue experimenting with and leading in this area

Material Costs

- Commodity costs are expected to increase in the low-single digit range overall for 2025, with particular pressure on agricultural commodities like juice and coffee
- The company manages commodity cost changes through multiple strategies including hedging programs, supply chain mitigation, and adjusting material sourcing
- Regarding aluminum tariffs and costs, the company can adapt by shifting between different packaging materials (e.g., from aluminum cans to PET bottles)
- The impact of the 25% aluminum price increase is described as manageable, with packaging being only a small component of total costs

Bloomberg Automated Summary

Inventory

- The company improved share of visible inventory in 2024
- In North America, stepped-up execution focused on increased share of visible inventory helped drive market share gains in sparkling flavors
- In Eurasia and Middle East, the system focused on increasing share of visible inventory during the year
- The company sees significant opportunity to reduce out-of-stocks and better manage inventory placement

Competition

- The company gained overall market share and had broad-based share gains across global beverage categories
- In China, Trademark Coca-Cola continued to gain share despite macro headwinds
- In North America, sparkling flavors gained share due to successful limited-time innovations and improved execution
- The Indian market was described as having a "tremendous competitive set"
- FUZE TEA showed strong competitive performance, growing retail value at 3x the tea category rate

Market Share

- The company won overall share and had broad-based share gains across global beverage categories
- In China, Trademark Coca-Cola continued to gain share
- In Japan and South Korea, the company gained market share, while Indonesia and Bangladesh saw share declines
- In North America, sparkling flavors gained share during Q4, helped by limited-time innovations and improved execution

Capital Allocation

- Buybacks:
The company typically only repurchases shares to offset dilution from employee stock options
- Dividends:
Growing dividends remains an "unwavering priority" after 62 consecutive years of increases
In 2024, dividend payments represented 73% of adjusted free cash flow
- Capex:
For 2025, they expect approximately \$2.2 billion in capital investments
A significant portion of capital investment is going toward fairlife capacity and system investments in India and Africa

M&A

- Since 2006, Coca-Cola has added 9 billion-dollar brands through acquisition, with only 3 of these being billion-dollar brands at the time of acquisition, demonstrating success in scaling acquired brands

Bloomberg Automated Summary

- In 2024, the company generated \$3.5 billion in gross proceeds from refranchising activities
- The company refranchised 40% of its India business to a local partner (Jubilant group) who brings capital and capability-building potential
- The company's Bottling Investments as a percentage of consolidated net revenue has decreased significantly from 52% in 2015 to 13% currently, while Return on Invested Capital improved by 6 points over the same period

Labor

- The earnings call transcript contains no substantive discussion of labor-related topics like hiring, layoffs, unions, or employment practices. The only minor reference to employees was in the context of share repurchases being used to offset dilution from employee stock options.

Macro Environment

- The overall consumer environment is described as stable with good economic growth globally across both developed and emerging markets
- Lower income segments in the US and Western Europe face disposable income pressure, while other consumer segments continue to gain disposable income
- Consumer demand remained robust in Q4 2024, with improvements seen in several key markets
- Interest expense is expected to be elevated in 2025 compared to the prior year
- High inflation markets are expected to moderate throughout 2025

Supply Chain

- Supply chain continuity remains an ongoing challenge across industries in 2024, with the company managing this through their cross-enterprise procurement team and extensive network
- The company's supply chain is predominantly localized, with the vast majority of beverages being produced locally in each country where they are consumed
- They manage commodity cost fluctuations through multiple strategies including:
 - Hedging programs for supply and price
 - Mitigation and productivity measures
 - Adjusting material sourcing locations
- The company is building new supply chain capacity, including a New York factory for fairlife production

Pricing

- The company saw 9% price/mix growth in Q4 2024, with approximately 8 points coming from pricing (split between normal pricing and inflationary pricing) and 1 point from favorable mix
- For 2025, the company expects pricing to moderate as inflation decreases, particularly in high-inflation markets
- The company is using revenue growth management capabilities to drive both affordability and premiumization across their portfolio
- In regions facing economic pressure, the company adjusted pack-price architecture to drive affordability
- In North America, the company saw strong price/mix of about 12% in Q4, with approximately half coming from mix effects

Bloomberg Automated Summary

Product Development

- The company saw success with limited-time innovations in North America, particularly in sparkling flavors
- Innovation was a strong growth driver in Japan and South Korea
- The company reported strong innovation performance in Europe, with several successful products
- Their innovation strategy includes both short-term "buzz" products and longer-term sustainable innovations
- Innovation success rates improved in 2024, with strong performance from several brands
- The company expressed optimism about future product development

This information is generated by AI. It may not be 100 percent accurate and may contain misspellings and other inaccuracies. This information is provided "as is", without express or implied warranties of any kind. Bloomberg retains all rights to this information and provides it solely for your personal, non-commercial use. Bloomberg, its suppliers and third-party agents shall have no liability for errors in this document or for lost profits, losses, or direct, indirect, incidental, consequential, special or punitive damages in connection with the furnishing, performance or use of such information. Neither the information nor any opinion expressed in this document constitutes a solicitation of the purchase or sale of securities or commodities. Any opinion expressed in this document does not necessarily reflect the views of Bloomberg LP.

© COPYRIGHT 2025, BLOOMBERG LP. All rights reserved. Any reproduction, redistribution or retransmission is expressly prohibited.
